

years old and had been following this pattern ever since he had gotten his first bill at the age of eighteen. With this haphazard approach to bill paying, it was no surprise that Jerome's credit report had negative entries (late payments) for almost every account.

Now Jerome wanted a television set but wasn't willing to wait until he had saved up enough money to purchase one. In order to get it immediately, he had to buy one on credit. This was proving difficult because his credit report was not portraying him as a good risk to the stores who decided whether to approve his application. After five stores had turned him down, Jerome saw an advertisement in a rent-to-own store window promising not to turn down anyone for credit. The lure of low weekly payments was also very tempting. Jerome went in and left shortly afterwards with his brand new television.

Jerome felt he had made a wise decision. He got his television set without waiting and he only had to make a small payment of \$9.99 each week. Ironically, the next week Jerome had a lesson in his college finance class that illustrated the total cost of his purchase. If Jerome's repayment terms were extended to 18 months, by the time he paid off his \$220 television, he would have spent \$800 with the additional interest charges. In fact, if he had read the small print on his contract, he would have discovered that the interest rate was 300 percent!

Jerome learned the lesson that his need for immediate gratification cost him a lot of money. He also learned that his poor credit record disenfranchised him from the traditional credit market and left only rent-to-own type stores as an alternative. He promised himself that in the future he would save before he made expensive purchases and he would learn to be patient. He also would make an effort to pay his bills on time and start turning around his credit history from a primarily

